

Cover letter — *Frontiers in Artificial Intelligence*

Manuscript: The AI Incident Disclosure Shadow: An Incident-Level Study Matching AIID-Recorded AI Failures to U.S.-Listed Companies' Investor Disclosures, 2019–2026

Article type: Original Research **Target section:** AI in Finance

Dear Editors,

We submit the above manuscript for consideration as an Original Research article in the **AI in Finance** specialty section of *Frontiers in Artificial Intelligence*.

Fit. The paper studies how realized AI failures at public companies enter — or fail to enter — the securities-disclosure channel, connecting the AI-governance and capital-market-disclosure literatures the journal actively publishes, alongside recent *Frontiers in AI* work on AI adoption and corporate outcomes.

Contribution. To our knowledge this is the first incident-level match of AI Incident Database (AIID) failures to the SEC filings of the U.S.-listed companies involved. Across 307 matched incidents (21 issuers, 2019–2026), incident-specific disclosure is 1.3% and substantive disclosure 2.3%; the remaining 97.7% form a disclosure “shadow” dominated by substitution of specific events by generic AI risk-factor language, robust to issuer concentration, search window, right-censoring, and an independent full-filing audit.

Rigor and reproducibility. Every reported statistic is generated by deterministic, seed-fixed scripts, independently re-derived by two verifiers and a manuscript-wide numerical-consistency audit, and packaged as a fully offline computational capsule (hashed pre-registration; SHA-256-pinned inputs; public repository; Code Ocean capsule). Rare-event inference uses exact Clopper–Pearson intervals and Monte-Carlo permutation tests; inter-coder reliability is reported.

Scope and ethics. The study reports aggregate rates and measures disclosure *behavior*, not legal compliance; it makes no claim that any named issuer violated a disclosure obligation. It uses only public data (AIID and SEC EDGAR) and involved no human or animal subjects. Use of AI assistance is disclosed in the Methods and Acknowledgments.

The manuscript is original, not under consideration elsewhere, and all authors approve its submission. We have no competing interests to declare.

Sincerely,

Robin Chawla (corresponding author) — robin.chawla.cse14@iitbhu.ac.in
on behalf of Samir Chincholikar and Robin Chawla